

Quarterly Report on Form 10-Q

Orion Medical Devices, Inc. (NYSE: ORMD)

For the quarterly period ended June 30, 2024 (Q2 fiscal year 2024)

SYNTHETIC SAMPLE DOCUMENT. This is a fictional company and every figure below is invented for testing purposes. This report is provided as a synthetic example and has not been reviewed by the Securities and Exchange Commission (SEC) or any auditor.

Item 2. Management's Discussion and Analysis

Total revenue was \$538 million for the quarter covered by this report, an increase of 10% compared with \$487 million in the comparable prior-year period. Growth reflected higher customer demand across our principal operating segments.

Gross margin was 57.4% for the period, compared with 54.1% in the comparable prior-year period, reflecting changes in product mix, operating scale, and cost management initiatives.

Operating income was \$94 million, compared with \$72 million in the comparable prior-year period. Operating expenses increased as we continued investing in technology, personnel, and growth initiatives.

Net income was \$69 million, compared with \$51 million in the comparable prior-year period.

Segment Results

Revenue and operating income by reportable segment for the period were as follows.

Segment	Period Revenue	Prior-Year Revenue	Period Operating Income
Cardiac Devices	241	218	47
Surgical Systems	187	171	29
Monitoring	110	98	18

Cardiac Devices was the largest segment by revenue, contributing \$241 million during the period.

Condensed Consolidated Balance Sheets

Item	June 30, 2024	December 31, 2023
Total current assets	468,600	421,300
Total assets	1,784,900	1,612,800
Total current liabilities	312,700	286,500
Total liabilities	701,800	645,900
Total stockholders' equity	1,083,100	966,900

Total assets were \$1,784,900 thousand and total stockholders' equity was \$1,083,100 thousand at the end of the reporting period.

Condensed Consolidated Statements of Cash Flows

Net cash provided by operating activities was \$156 million, compared with \$121 million in the comparable prior-year period. Net cash used in investing activities was \$74 million, while net cash used in financing activities was \$26 million.

Item 1A. Risk Factors

Sales depend on procedure volumes, hospital capital budgets, reimbursement conditions, and regulatory approvals for medical devices.

Manufacturing interruptions or quality issues could result in delayed shipments, product corrections, or recalls.

Medical device regulation requires substantial testing, documentation, and post-market monitoring. Changes in requirements could increase costs.

Item 4. Controls and Procedures

Based on an evaluation as of the end of the period covered by this report, management concluded that the company's disclosure controls and procedures were effective. No change in internal control over financial reporting occurred during the reporting period that has materially affected, or is reasonably likely to materially affect, internal control over financial reporting.